

JPM FX - Derivatives Chartpack Notes

Long USD correlations and a Dual Digi for chasing the USD lower | Seasonality trade: buy an FVA in inverted front-end JPY curve

- With the U.S. elections / politics, the US rates moves, and the overall direction of the USD in focus, USD-correlations are performing once again, and we believe that they will continue to do so in the coming months. Buy realizing correlations via Corr Swaps in GBP, EUR via USD and GBP, JPY via USD for the dollar centric months ahead. This trade has also performed well in the last two years.
- Make use of the same realizing correlations to chase or hedge the dollar lower. This could be done via a Dual Digi with JPY and GBP up versus the USD. The structure proposed offers a 56% discount versus the cheapest leg.
- Seasonality trade: August lifts implied volatilities in G10 - buy an FVA in inverted front-end JPY vol curve that has a 1 vol pt roll up and where realized volatility remains firm.

Global Quantitative and Derivatives Strategy

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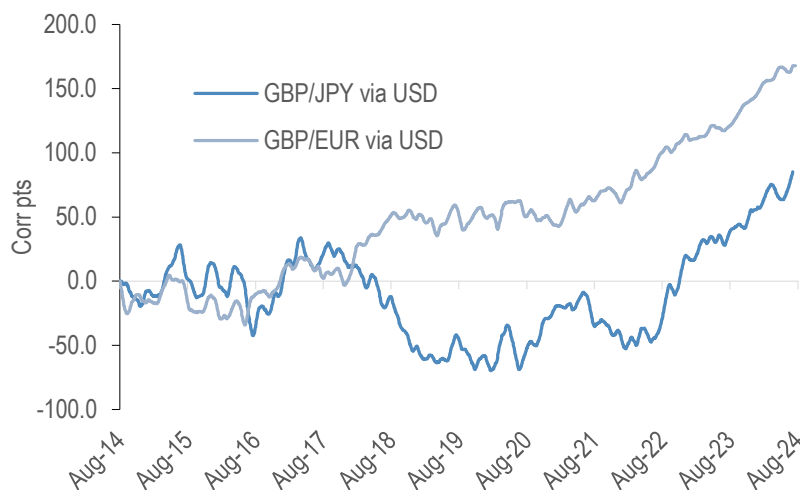
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Figure 1: Long GBP, EUR and GBP, JPY USD-corrs has been a profitable strategy in the last two years

PnL in corr pts generated by a long GBP, EUR and GBP, JPY USD corr strategy. 3M tenor. 1M holding period. No TC.



Source: J.P. Morgan.

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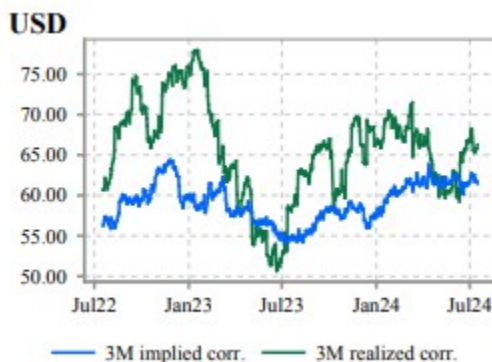
Long USD correlations and a Dual Digi for chasing the USD lower

With the U.S. elections / politics, the US rates moves, and the overall direction of the USD in focus, USD-correlations are performing once again (see Figure 2), after having been more muted during the months between late April to mid-June. This performance comes despite a falling DXY, that has fallen more than 2% since early July.

However, despite the increase in implied correlations since the start of the year, there are still opportunities in the space, in particular EUR-GBP and GBP-JPY all via USD are all heavily realizing by more than 15+ correlations pts. Further, they are not expensive on a historical basis by looking at the 2-yr z-score of the pricing see (Figure 3).

Figure 2: USD-correlations are performing again

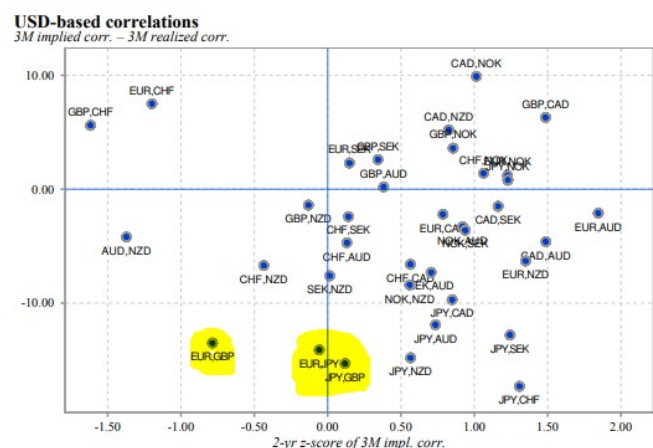
Avg. USD 3M implied and realized correlations across G10 FX



Source: J.P. Morgan.

Figure 3: There are good opportunities to buy USD-correlations

USD-based correlations 3M implied corr - 3M realized corr and 2 yr zscore of 3M impl corr



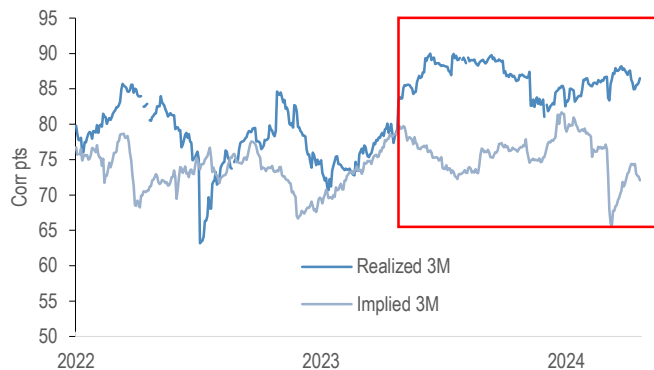
Source: J.P. Morgan.

Also, if you look at the implied and realized correlations (Figure 4), we can see that the overperformance of the GBP, EUR correlation, to take an example, is not a one-off occurrence in time, it has been going on for almost two years continuously. Further, as we can see in Figure 5, a long correlation trade in these triangles (GBP, EUR and GBP, JPY via USD) has been a positive strategy in terms of PnL in the last two years.

Moving forward, we believe that with a US cut in play in [September](#), a U.S presidential candidate arguing for a weaker USD, and the prospect of a change in US foreign and commercial policies, we can expect USD-correlations, and in particular the two triangles mentioned before (GBP,EUR and GBP,JPY) to stay firm.

Figure 4: GBP, EUR via USD Corrs have been realizing for almost two years

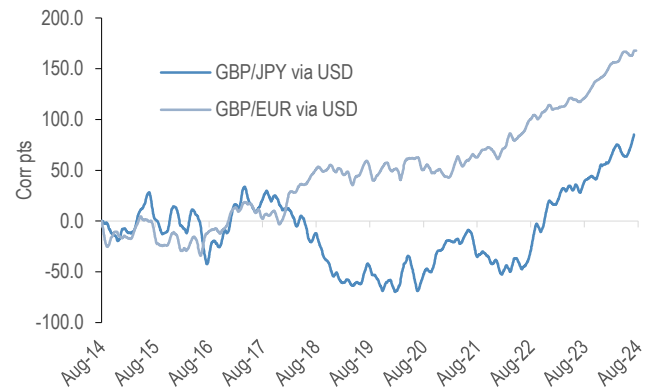
GBP, EUR via USD 3M implied corr and 3M realized corr



Source: J.P. Morgan.

Figure 5: Long GBP, EUR and GBP, JPY USD-corrs has been a profitable strategy in the last two years

PnL in corr pts generated by a long GBP, EUR and GBP, JPY USD corr strategy. 3M tenor. 1M holding period. No TC.



Source: J.P. Morgan.

Hence consider:

- Buy 3M Corr Swap in GBP, EUR via USD for 70/74 Corr pts.
- Buy 3M Corr Swap in GBP, JPY via USD 3M for 32/40 Corr pts.

Further, for those who believe that the US dollar could also move lower as a result of US rates differential to the rest of the world narrowing or because of the political will of the US government in the future, we could use the correlations above in order to chase the dollar lower. This could be done via Dual Digi with JPY and GBP up versus the dollar. The choice of the currencies makes sense because both currencies have appreciated vs the dollar in the recent dynamics. The JPY Surged yesterday 1.5% amid speculation that authorities could intervene again to prop it up as well as Trump arguing for the USD/JPY down in an interview. Likewise [GBP](#) continues to benefit from a weakening dollar, high carry, improving UK growth, and a less dovish than hoped Bank of England.

For those who believe that this pattern might continue or those who want to hedge the USD lower, we can recommend making use of the realizing correlations above to structure a cheap structure via dual Digis: GBP/USD up, USD/JPY down. However, please note that further dollar weakness is not the base case scenario for our [Macro analysts](#). This could be done in a slightly longer tenor - 6M - that covers the election and post-election. We look for strikes that are consistent with a 30-delta strike. Given the limited implied correlation (35%) - although it is realizing at 50% - the structure is only worth 10.68% at Mid, which offers a 56% discount versus the cheapest leg.

Hence consider:

- Buy a 6M dual At-Expiry-Digital GBP/USD Call (strike 1.3365); USD/JPY Put (strike 147.11) for 12.18% (10.68% Mid).

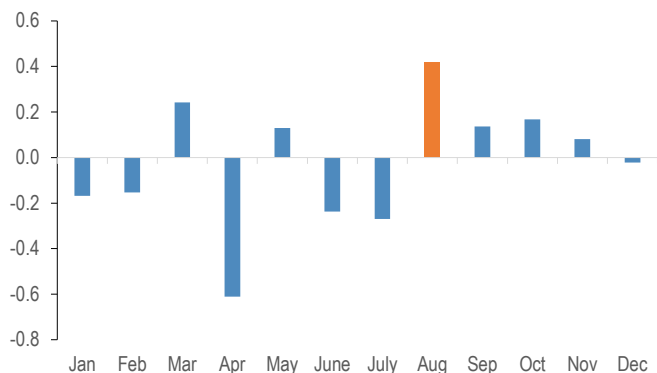
August seasonality trade: buy an FVA in inverted front-end USD/JPY curve

As discussed in the latest [KCV](#), the August seasonality patterns might offer support to the USD. Likewise, in the FX vol space, where there is also a fairly strong August seasonality pattern - likely due to the lack of liquidity in the FXO space during the summer month, we can also expect the VXY to remain supported, particularly given that it finds itself below the 7 vol pts threshold.

Indeed, we can see below that in the month of August the VXY-G7 index (3M) reprices on average 0.4 vol pts higher, which is more than for any other month of the year (Figure 6). Further, as we can see in Figure 7, this repricing higher has occurred in more than 75% of years, thus showing that it is not the result of a one-off occurrence.

Figure 6: Average end-of-month change in the 3M VXY-G7 Index by month

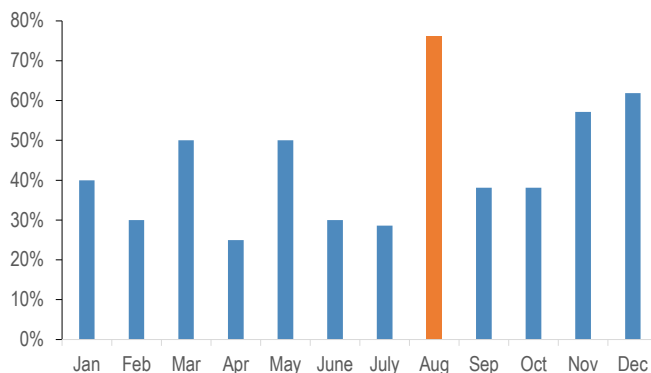
Vol pts, 2003-2024 data



Source: J.P. Morgan.

Figure 7: % of occurrences where the 3M VXY-G7 index repriced higher for a given month

2003-2024 data

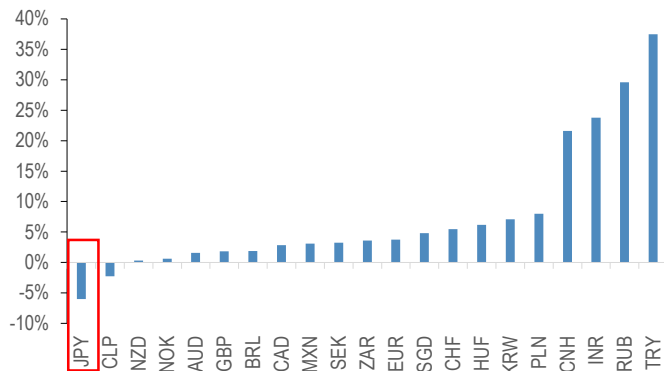


Source: J.P. Morgan.

Given that our seasonality analysis above focuses on 3M implied vols increasing during August, the natural way to express the view would be to buy a 3M FWD vol in 1M or 6WK. However, in order not to buy forward vols that crosses the US elections we abstain from the 3M tenor and we reduce it to the 2M tenor. Ideally, this should be done in a volatility curve that is inverted, thus to reduce the roll-down and also where the volatility is realizing so that forward vols do not come under pressure - even if they are also supported by the seasonality effect.

Figure 8: USD/JPY vol curve is inverted in the front end

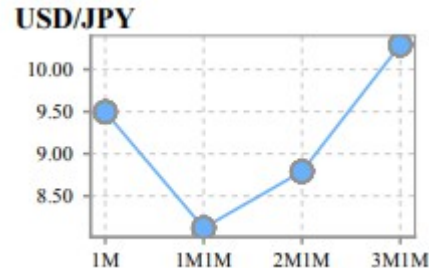
Normalized vol curve steepness: (3M - 1M ATM vol) as a % of 2M ATM vol



Source: J.P. Morgan.

Figure 9: Term structure of 1M vol N-months forward for USD/JPY

See FX derivatives chartpack, [here](#)



Source: J.P. Morgan.

We can see that most volatilities are currently upward slopping in the 1M to 3M space, see Figure 8, the only notable exception is USD/JPY that has a 6% inversion in the vol curve in the 3M-1M space. This sort of inversion is normally seen in currencies in which the vol is realizing heavily; however, this is not the case in USD/JPY where - despite large recent moves in the currency - the vol carry is close to zero and it is far from being the volatility with the most negative vol carry (i.e. where the vol is heavily realizing - like in MXN).

Further, the inversion in the front-end of the curve, tied with the upward slope generated by the US election pricing in the 3M forward vol in 1M creates an opportunity to buy forward vol in a curve minimum, and at a reasonable price.

This buy is motivated by the August seasonality effect, but also because the 1) the US rates moves and the possible MoF intervention will keep the JPY forward vols firm; 2) long USD/JPY positioning is very extended as it can be seen in Figure 6 [here](#), thus exacerbating the volatility in the currency, and also keeping forward vols firm; 3) there is more than 1 vol pt roll-up in the curve (see Figure 9) thus increasing the chances that the trade will end up in the money; 4) the 2M FWD vol in 6WK will cover important events including the September FOMC and BOJ meetings; and 5) finally, the price for buying forward volatility, with a mid at 8.9 is in line with the average 2M realized volatility which is at 8.95 vol pts year-to-date. This means that we are buying volatility in a tenor that has little risk premia baked in.

Hence consider:

- Buy 2M in 6WK FVA in USD/JPY for 8.9/9.4 vol pts, costs included.

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